

Global Management in Economics Perspective

PMGM 7004

Section A, B

Instructor: Prof. Matthias Fahn

Email: mfahn@hku.hk

Office: KK 912

Phone: 3910 2409

Office Hours: Half hour after each class / By appointment

TA: Yi Huang

Email: yhuangyi@hku.hk

Meeting time: Wednesday and Saturday

(Oct 15, 18, 22; Nov 1, 5, 8, 12, 15, 19, 2025)

Tuesday (Oct 14)

Section A: 9:30am-12:30pm

Section B: 2:00-5:00pm

Classroom: TBA

Pre-requisites: None

Course Description

This course is an introduction to economic theory and application for managers. It provides students with an understanding of core microeconomic concepts such as demand, supply, cost dynamics, profit-maximization, market imperfection, market power, monopoly pricing, price discrimination, game theory, and competitive strategy. The methods conveyed in this course will help students make decisions in complex and changing business environments.

Key Learning Outcomes

On successful completion of the module, students should be able to:

- Explain the function of market mechanisms, the interaction among economic agents and analysed quantitatively how market price and quantity are determined.
- Explain how cost is defined and measured, and distinguish between the concept of cost used by economists and by accountants.
- Explain different market structures, and quantify how firms in all markets, competitive or otherwise, choose the profit-maximizing output in the short run and long run.
- Measure and explain quantitatively the welfare effects of a government policy.
- Use more complicated pricing strategies and convert them into additional profits for firms.
- Apply game theory to understand how markets evolve and operate, and how managers should think about the strategic decisions they continually face.

Textbook

Managerial Economics, by Ivan Png, Routledge, 2022, 6th edition.

Although the lectures and the book have a large overlap, many chapters of the book are not covered in this course, and a substantial part of lecture details cannot be found in the book (most of the concepts and theories are indeed in the book). For the exam, the lecture slides are more relevant than the textbook.

If you are studying economics for the first time, I strongly encourage you to buy the book. For additional studying materials and more detailed explanations of economic concepts and theories, I recommend [Principles of Microeconomics](#) (2020, 10e) by N. Gregory Mankiw.

Topics

1. Competitive market (chapters 2, 4, 5)
2. Monopoly pricing (chapters 7, 8)
3. Oligopoly (chapter 9)

Preliminary Course Schedule

Lecture 1	Introduction to the Course
	Demand, Supply, and Markets**
Lecture 2	Demand-Supply, Elasticities, and Welfare**
	Measuring Demand Curves
Lecture 3	Cost Dynamics**
	Profit maximization**
Lecture 4	Market Efficiency, Taxes and Subsidies**
	Externalities
Lecture 5 (problem set 1 due at 9am before lecture)	Monopoly Pricing**
	Monopoly and Welfare**
Lecture 6	Price Discrimination
	Practice Session
Lecture 7 (problem set 2 due at 9am before lecture)	Static Games, Matrix Form, Prisoner's Dilemma**
	Bertrand Price Competition and Collusion**
Lecture 8	Dynamic Games, Extensive Form, Entry Deterrence
	Cournot and Stackelberg Capacity Competition**
Lecture 9	Topic tba
	Topic tba
Lecture 10 (problem set 3 due at 9am before lecture)	Review
	Q&A

**The starred topics are the core material for this course and will be the main focus in the problem sets and final exam. They are taught both in this section and the sections taught by Prof. Michael Wong and Prof. Zhou Wen. The remaining material will be useful in your future life as a manager, but will not be heavily assessed.

Moodle

Moodle is used for course material distribution, announcements and communication. We will also use Moodle to send you announcements, which will arrive in your HKU email account. Please check that account regularly.

All course materials are protected by copyrights. Please do not post any of the distributed files on the internet, otherwise you may get into trouble for copyright violation.

If you download files from Moodle on a mobile phone, note that sometimes the files may be incomplete. Better use a computer for file downloads.

Assessment Components

Your final grade depends on

Lecture attendance	15%
Participation and contribution	10%
Homework problem sets	15%
Final exam	60%
Total	100%

Attendance and Participation

You are required to attend at least 70% of the lecture by HKU. Please note that lectures will not be recorded

To participate, you are encouraged to engage actively in all class activities and discussions. Your involvement is essential for effective learning. Active participation will not only enhance your own learning but also make the class discussions more dynamic and engaging. You will be significantly rewarded for your contributions during in-class activities by offering insightful comments, making connections to course materials, constructively analyzing classmates' arguments, and bringing unique perspectives to discussions. Evaluation will be based on the quality of individual contributions. The Teaching Assistant will keep a record of your participation.

Students who contribute insightful comments or arguments in class will earn 1 point each. The TA will send an email collecting participation records after each session. If you have participated, please reply to the email within 24 hours after the email is sent. Late replies will not be considered.

Another way to contribute is to offer comments or suggestions (e.g. by email). I am particularly interested in the following:

1. Lecture contents: which topic is interesting or boring, difficult or too easy, what additional topic or phenomenon you really want to understand; and which topic can be removed, etc.
2. Course arrangement: any comments or suggestions?
3. Real life examples that exemplify, confirm, extend or contradict conclusions in our lectures.

4. Recommendation of supplementary materials. You may draw from your personal experience or observation, or from literature, history, war, politics, philosophy, psychology, anthropology, animal behavior, jokes, quotes, idioms, proverbs, poems, pictures, cartoons, articles, news, books, short videos, movies, etc.

If your suggestion is adopted, it will be counted as part of your contribution.

Problem Sets

There are three problem sets. The problem sets are designed to help you learn the course material and help prepare you for the exam. They are due at 9am on the date of the respective lecture. See above schedule for the due dates. Solutions to the problem sets will be posted after that lecture. Late submissions will NOT be accepted.

Only your top two problem set grades will be counted towards your final grade. Your lowest problem set grade will be dropped. Discussion with classmates is allowed but plagiarism is against the University rules.

Because of the tight schedule, large class, and limited course resources, we will grade a random subset of the questions and the problem sets will not be returned.

Final Exam

Two hours. Closed book.

The exam will be very similar to the sample exam in terms of format, amount, and level of difficulty. When you prepare for the exam, the most relevant materials are lecture slides, the problem set solutions, and the sample exam. The textbook can help you understand some concepts but is less relevant for the exam. No make-up exam will be available by university policy.

Date: November 21st, 2025

How to get a good grade

- Be an active thinker and participant in lectures and tutorials.
- Focus on understanding the concepts from each lecture note.
- Problem sets are the best exercise aids.
 - Many of the questions in problem sets would require calculations. (Economics is a rigorous science.)
 - Make sure that you can solve all problems *independently*.